

Bermuda Statutory Financial Statements

As of December 31, 2025 and 2024

Global Atlantic Assurance Limited

(a wholly-owned subsidiary of Global Atlantic Re Limited)





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STATUTORY BALANCE SHEET

FORM 1SFS

Global Atlantic Assurance Limited

As at 31 December 2025

expressed United States Dollars

STMT.
LINE No.

	General Business		Long-Term Business		General & Long-Term Business	
	Unconsolidated		Unconsolidated		Consolidated	
	2025	2024	2025	2024	2025	2024
	('000s)	('000s)	('000s)	('000s)	('000s)	('000s)
1. CASH AND CASH EQUIVALENTS	1,500	1,500	153,226	218,118	154,726	219,618
2. QUOTED INVESTMENTS:						
(a) Bonds and Debentures						
i. Held to maturity	-	-	-	-	-	-
ii. Other	-	-	6,299,661	6,722,899	6,299,661	6,722,899
(b) Total Bonds and Debentures	-	-	6,299,661	6,722,899	6,299,661	6,722,899
(c) Equities						
i. Common stocks	-	-	-	-	-	-
ii. Preferred stocks	-	-	5,220	-	5,220	-
iii. Mutual Funds	-	-	-	-	-	-
(d) Total equity investments	-	-	5,220	-	5,220	-
(e) Other quoted investments	-	-	36,565	-	36,565	-
(f) Total quoted investments	-	-	6,341,446	6,722,899	6,341,446	6,722,899
3. UNQUOTED INVESTMENTS:						
(a) Bonds and Debentures						
i. Held to maturity	-	-	-	-	-	-
ii. Other	-	-	-	-	-	-
(b) Total Bonds and Debentures	-	-	-	-	-	-
(c) Equities						
i. Common stocks	-	-	-	-	-	-
ii. Preferred stocks	-	-	-	-	-	-
iii. Mutual Funds	-	-	-	-	-	-
(d) Total equity investments	-	-	-	-	-	-
(e) Other unquoted investments	-	-	12,024	10,255	12,024	10,255
(f) Total unquoted investments	-	-	12,024	10,255	12,024	10,255
4. INVESTMENTS IN AND ADVANCES TO AFFILIATES (EQUITY METHOD):						
(a) Unregulated entities that conduct ancillary services	-	-	-	-	-	-
(b) Unregulated non-financial operating entities	-	-	-	-	-	-
(c) Unregulated financial operating entities	-	-	-	-	-	-
(d) Regulated non-insurance financial operating entities	-	-	-	-	-	-
(e) Regulated insurance financial operating entities	-	-	-	-	-	-
(f) Total investments in affiliates (equity method)	-	-	-	-	-	-
(g) Advances to affiliates	-	-	-	-	-	-
(h) Total investments in and advances to affiliates (equity method)	-	-	-	-	-	-
5. INVESTMENTS IN MORTGAGE LOANS ON REAL ESTATE:						
(a) First liens	-	-	1,363,756	1,597,975	1,363,756	1,597,975
(b) Other than first liens	-	-	-	-	-	-
(c) Total investments in mortgage loans on real estate	-	-	1,363,756	1,597,975	1,363,756	1,597,975
6. POLICY LOANS			-	-	-	-
7. REAL ESTATE:						
(a) Occupied by the company (less encumbrances)	-	-	-	-	-	-
(b) Other properties (less encumbrances)	-	-	-	-	-	-
(c) Total real estate	-	-	-	-	-	-
8. COLLATERAL LOANS			-	-	-	-
9. INVESTMENT INCOME DUE AND ACCRUED	-	-	63,360	72,668	63,360	72,668
10. ACCOUNTS AND PREMIUMS RECEIVABLE:						
(a) In course of collection	-	-	-	-	-	-
(b) Deferred - not yet due	-	-	-	-	-	-
(c) Receivables from retrocessional contracts	-	-	-	-	-	-
(d) Total accounts and premiums receivable	-	-	-	-	-	-
11. REINSURANCE BALANCES RECEIVABLE:						
(a) Foreign affiliates	-	-	-	-	-	-
(b) Domestic affiliates	-	-	-	-	-	-
(c) Pools & associations	-	-	-	-	-	-
(d) All other insurers	-	-	5,032	5,809	5,032	5,809
(e) Total reinsurance balances receivable	-	-	5,032	5,809	5,032	5,809
12. FUNDS HELD BY CEDING REINSURERS:	-	-	-	-	-	-
13. SUNDRY ASSETS:						
(a) Derivative instruments	-	-	-	-	-	-
(b) Segregated accounts companies - long-term business - variable annuities			-	-	-	-
(c) Segregated accounts companies - long-term business - others			-	-	-	-
(d) Segregated accounts companies - general business	-	-	-	-	-	-
(e) Deposit assets	-	-	-	-	-	-
(f) Deferred acquisition costs	-	-	-	-	-	-
(g) Net receivables for investments sold	-	-	26,394	28,787	26,394	28,787



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STATUTORY BALANCE SHEET

FORM 1SFS

Global Atlantic Assurance Limited
As at 31 December 2025
expressed United States Dollars

STMT. LINE No.		General Business		Long-Term Business		General & Long-Term Business	
		Unconsolidated		Unconsolidated		Consolidated	
		2025	2024	2025	2024	2025	2024
(h)	Other Assets	-	-	4,564	2,934	4,564	2,934
(i)	Insurance intangibles	-	-	3,246	10,605	3,246	10,605
(j)	Other Sundry Assets (Specify)	-	-	-	-	-	-
(k)	Total sundry assets	-	-	34,205	42,326	34,205	42,326
14.	LETTERS OF CREDIT, GUARANTEES AND OTHER INSTRUMENTS:						
(a)	Letters of credit	-	-	-	-	-	-
(b)	Guarantees	-	-	-	-	-	-
(c)	Other instruments	-	-	-	-	-	-
(e)	Total letters of credit, guarantees and other instruments	-	-	-	-	-	-
15.	TOTAL	1,500	1,500	7,973,048	8,670,050	7,974,548	8,671,550
INSURANCE RESERVES, OTHER LIABILITIES AND STATUTORY CAPITAL AND SURPLUS							
INSURANCE RESERVES							
16.	UNEARNED PREMIUM RESERVE						
(a)	Gross unearned premium reserves	-	-			-	-
(b)	Less: Ceded unearned premium reserve						
i.	Foreign affiliates	-	-			-	-
ii.	Domestic affiliates	-	-			-	-
iii.	Pools & associations	-	-			-	-
iv.	All other insurers	-	-			-	-
(c)	Total ceded unearned premium reserve	-	-			-	-
(d)	Net unearned premium reserves	-	-			-	-
17.	LOSS AND LOSS EXPENSE PROVISIONS:						
(a)	Gross loss and loss expense provisions	-	-			-	-
(b)	Less : Reinsurance recoverable balance						
i.	Foreign affiliates	-	-			-	-
ii.	Domestic affiliates	-	-			-	-
iii.	Pools & associations	-	-			-	-
iv.	All other insurers	-	-			-	-
(c)	Total reinsurance recoverable balance	-	-			-	-
(d)	Net loss and loss expense provisions	-	-			-	-
18.	OTHER INSURANCE RESERVES	-	-			-	-
19.	TOTAL GENERAL BUSINESS - INSURANCE RESERVES	-	-			-	-
LONG-TERM BUSINESS INSURANCE RESERVES							
20	RESERVES FOR REPORTED CLAIMS			-	-	-	-
21	RESERVES FOR UNREPORTED CLAIMS			-	-	-	-
22	POLICY RESERVES - LIFE			2,307,881	2,345,560	2,307,881	2,345,560
23	POLICY RESERVES - ACCIDENT AND HEALTH			-	-	-	-
24	POLICYHOLDER'S FUNDS ON DEPOSIT			-	-	-	-
25	LIABILITY FOR FUTURE POLICYHOLDER DIVIDENDS			-	-	-	-
26	OTHER LONG-TERM BUSINESS INSURANCE RESERVES			3,097,711	3,799,139	3,097,711	3,799,139
27	TOTAL LONG-TERM BUSINESS INSURANCE RESERVES						
(a)	Total Gross Long-Term Business Insurance Reserves			7,746,999	8,641,329	7,746,999	8,641,329
(b)	Less: Reinsurance Recoverable Balance:						
(i)	Foreign Affiliates			-	-	-	-
(ii)	Domestic Affiliates			-	-	-	-
(iii)	Pools and Associations			-	-	-	-
(iv)	All Other Insurers			2,341,407	2,496,630	2,341,407	2,496,630
(c)	Total Reinsurance Recoverable Balance			2,341,407	2,496,630	2,341,407	2,496,630
(d)	Net Long-Term Business Insurance Reserves			5,405,592	6,144,699	5,405,592	6,144,699
OTHER LIABILITIES							
28.	INSURANCE AND REINSURANCE BALANCES PAYABLE	-	-	36,987	39,170	36,987	39,170
29.	COMMISSIONS, EXPENSES, FEES AND TAXES PAYABLE	-	-	-	-	-	-
30.	LOANS AND NOTES PAYABLE	-	-	-	-	-	-
31.	(a) INCOME TAXES PAYABLE	-	-	-	-	-	-
(b)	DEFERRED INCOME TAXES	-	-	-	-	-	-
32.	AMOUNTS DUE TO AFFILIATES	-	-	-	1,588	-	1,588
33.	ACCOUNTS PAYABLE AND ACCRUED LIABILITIES	-	-	1,977	1,262	1,977	1,262
34.	FUNDS HELD UNDER REINSURANCE CONTRACTS:	-	-	1,779,304	1,871,094	1,779,304	1,871,094
35.	DIVIDENDS PAYABLE	-	-	-	-	-	-
36.	SUNDRY LIABILITIES:						
(a)	Derivative instruments	-	-	29,753	35,767	29,753	35,767
(b)	Segregated accounts companies	-	-	-	-	-	-



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Global Atlantic Assurance Limited

As at 31 December 2025

expressed United States Dollars

FORM 1SFS

STMT. LINE No.		General Business		Long-Term Business		General & Long-Term Business	
		Unconsolidated		Unconsolidated		Consolidated	
		2025	2024	2025	2024	2025	2024
(c)	Deposit liabilities	-	-	-	-	-	-
(d)	Net payable for investments purchased	-	-	-	-	-	-
(e)	Other	-	-	1,617	1,763	1,617	1,763
(f)	Other sundry liabilities (specify)	-	-	-	-	-	-
(g)	Other sundry liabilities (specify)	-	-	-	-	-	-
(h)	Total sundry liabilities	-	-	31,370	37,530	31,370	37,530
37.	LETTERS OF CREDIT, GUARANTEES AND OTHER INSTRUMENTS:						
(a)	Letters of credit	-	-	-	-	-	-
(b)	Guarantees	-	-	-	-	-	-
(c)	Other instruments	-	-	-	-	-	-
(d)	Total letters of credit, guarantees and other instruments	-	-	-	-	-	-
38.	TOTAL OTHER LIABILITIES	-	-	1,849,638	1,950,644	1,849,638	1,950,644
39.	TOTAL INSURANCE PROVISIONS AND OTHER LIABILITIES	-	-	7,255,230	8,095,343	7,255,230	8,095,343
	STATUTORY CAPITAL AND SURPLUS						
40.	TOTAL STATUTORY CAPITAL AND SURPLUS	1,500	1,500	717,818	574,707	719,318	576,207
41.	TOTAL	1,500	1,500	7,973,048	8,670,050	7,974,548	8,671,550
		TRUE	TRUE	TRUE	TRUE	TRUE	TRUE

Notes to Form 1SFS

Line 10	Collateralized balances		-	-
Line 11(e)	Collateralized balances		-	-
Line 17(c)	Collateral placed in favor of the insurer		-	-
Line 27(c)	Collateral placed in favor of the insurer		2,310,801	-
Line 13	Sundry assets		-	-
Line 15	Encumbered assets for policyholder obligations			
Asset		Purpose of Encumbrance		
Cash and cash equivalents			-	-
Total quoted investments		Coinsurance Assets held in trusts		
Total unquoted investments		required balance	7,969,358	8,814,130
Funds held by ceding reinsurers			-	-
Other assets			-	-
Total encumbered assets			7,969,358	8,814,130
Line 15	Encumbered assets not securing policyholder obligations			
Asset		Purpose of Encumbrance		
Cash and cash equivalents			-	-
Total quoted investments			-	-
Total unquoted investments			-	-
Other assets			-	-
Total encumbered assets			-	-
Line 36	Sundry liabilities		-	-
Line 37	Letters of Credit, Guarantees and other Instruments		-	-
	General Business			
Line 17	Reasons for the change in the net losses incurred and net loss expenses incurred related to prior years and indicate whether additional premiums or return premiums have been accrued as a result of the prior year effects.		-	-
Line 17	Gross loss and loss expense provisions at beginning of year		-	-
Less: Reinsurance recoverable at beginning of year			-	-
Net loss and loss expense provisions at beginning of year			-	-
Acquisition / Sale of loss reserves (net):			-	-
Net losses incurred and net loss expenses incurred related to:				
Current year			-	-
Prior years			-	-
Total net incurred losses & loss expenses			-	-
Net losses and loss expenses paid or payable related to:				
Current year			-	-
Prior years			-	-
Total losses and loss expenses paid or payable			-	-
Foreign exchange and other			-	-


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Global Atlantic Assurance Limited
FORM 1SFS

 As at **31 December 2025**
 expressed **United States Dollars**
STMT.
LINE No.

 Net loss and loss expense provisions at end of year
 Add: Reinsurance recoverable at end of year
 Gross loss and loss expense provisions at end of year

 Difference

General Business		Long-Term Business		General & Long-Term Business	
Unconsolidated		Unconsolidated		Consolidated	
2025	2024	2025	2024	2025	2024
				-	-
				-	-
				-	-
				TRUE	TRUE
				-	-

Long-Term Business

Line 27

CURRENT YEAR

 Balance - Beginning of Year
 Impact of Terminations
 Impact of New Business
 Normal Change in force
 Management Actions and Changes in Assumptions
 Impact of Foreign Exchange rate changes
 Balance - End of Year

Insurance Contracts			Investment Contracts		
Gross	Reinsurance	Net	Gross	Reinsurance	Net
8,641,330	2,496,630	6,144,699	-	-	-
(375,479)	(220,393)	(155,086)	-	-	-
2,038	-	2,038	-	-	-
(523,132)	63,472	(586,605)	-	-	-
2,243	1,697	546	-	-	-
-	-	-	-	-	-
7,746,999	2,341,407	5,405,592	-	-	-

PRIOR YEAR

 Balance - Beginning of Year
 Impact of Terminations
 Impact of New Business
 Normal Change in force
 Management Actions and Changes in Assumptions
 Impact of Foreign Exchange rate changes
 Balance - End of Year

Gross	Reinsurance	Net	Gross	Reinsurance	Net
9,051,385	2,548,070	6,503,315	-	-	-
(218,609)	(113,218)	(105,392)	-	-	-
50,082	-	50,082	-	-	-
(241,527)	61,778	(303,305)	-	-	-
-	-	-	-	-	-
-	-	-	-	-	-
8,641,330	2,496,630	6,144,699	-	-	-


STATUTORY STATEMENT OF INCOME

Global Atlantic Assurance Limited
For the year ending **31 December 2025**
expressed in ['000s] **United States Dollars**

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FORM 2SFS

STMT. LINE No.		General Business		Long-Term Business		General and Long-Term Business	
		Unconsolidated		Unconsolidated		Consolidated	
		2025	2024	2025	2024	2025	2024
		('000s)	('000s)	('000s)	('000s)	('000s)	('000s)
GENERAL BUSINESS UNDERWRITING INCOME							
1.	GROSS PREMIUMS WRITTEN:						
	(a) Direct gross premiums written	-	-			-	-
	(b) Assumed gross premiums written	-	-			-	-
	(c) Total gross premiums written	-	-			-	-
2.	REINSURANCE PREMIUMS CEDED	-	-			-	-
3.	NET PREMIUMS WRITTEN	-	-			-	-
4.	INCREASE (DECREASE) IN UNEARNED PREMIUMS	-	-			-	-
5.	NET PREMIUMS EARNED	-	-			-	-
6.	OTHER INSURANCE INCOME	-	-			-	-
7.		-	-			-	-
GENERAL BUSINESS UNDERWRITING EXPENSES							
8.	NET LOSSES INCURRED AND NET LOSS EXPENSES INCURRED	-	-			-	-
9.	COMMISSIONS AND BROKERAGE	-	-			-	-
10.		-	-			-	-
11.	NET UNDERWRITING PROFIT (LOSS) - GENERAL BUSINESS	-	-			-	-
LONG-TERM BUSINESS UNDERWRITING INCOME							
12.	GROSS PREMIUMS AND OTHER CONSIDERATIONS:						
	(a) Direct gross premiums and other considerations			-	-	-	-
	(b) Assumed gross premiums and other considerations			36,277	36,408	36,277	36,408
	(c) Total gross premiums and other considerations			36,277	36,408	36,277	36,408
13.	PREMIUMS CEDED			4,586	4,083	4,586	4,083
14.	NET PREMIUMS AND OTHER CONSIDERATIONS:						
	(a) Life			31,177	31,640	31,177	31,640
	(b) Annuities			514	685	514	685
	(c) Accident and health			-	-	-	-
	(d) Total net premiums and other considerations			31,691	32,325	31,691	32,325
15.	OTHER INSURANCE INCOME			-	-	-	-
16.				31,691	32,325	31,691	32,325
LONG-TERM BUSINESS DEDUCTIONS AND EXPENSES							
17.	CLAIMS - LIFE			49,698	43,357	49,698	43,357
18.	POLICYHOLDERS' DIVIDENDS			-	-	-	-
19.	SURRENDERS			82,271	87,900	82,271	87,900
20.	MATURITIES			58,541	2,586	58,541	2,586
21.	ANNUITIES			708	241	708	241
22.	ACCIDENT AND HEALTH BENEFITS			-	-	-	-
23.	COMMISSIONS			693	4,698	693	4,698
24.	OTHER			28,056	27,936	28,056	27,936
25.				219,967	166,718	219,967	166,718
26.	INCREASE (DECREASE) IN POLICY RESERVES:						
	(a) Life			(76,920)	(86,891)	(76,920)	(86,891)
	(b) Annuities			128,363	192,304	128,363	192,304
	(c) Accident and health			-	-	-	-
	(d) Total increase (decrease) in policy reserves			51,443	105,413	51,443	105,413
27.				271,410	272,131	271,410	272,131
28.	NET UNDERWRITING PROFIT (LOSS) - LONG-TERM BUSINESS			(239,719)	(239,806)	(239,719)	(239,806)
29.	COMBINED NET UNDERWRITING PROFIT (LOSS) BEFORE THE UNDERNOTED ITEMS	-	-	(239,719)	(239,806)	(239,719)	(239,806)
UNDERNOTED ITEMS							
30.	COMBINED OPERATING EXPENSES:						
	(a) General and administrative	-	-	4,815	5,799	4,815	5,799
	(b) Personnel Costs	-	-	-	-	-	-
	(c) Other	-	-	-	-	-	-
	(d) Total combined operating expenses	-	-	4,815	5,799	4,815	5,799
31.	COMBINED INVESTMENT INCOME - NET	-	-	315,162	325,473	315,162	325,473
32.	COMBINED OTHER INCOME (DEDUCTIONS)	-	-	-	-	-	-
33.	COMBINED INCOME BEFORE TAXES	-	-	70,628	79,868	70,628	79,868


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STATUTORY STATEMENT OF INCOME
Global Atlantic Assurance Limited

For the year ending **31 December 2025**
expressed in ['000s] **United States Dollars**
FORM 2SFS
**STMT.
LINE No.**

		General Business		Long-Term Business		General and Long-Term Business	
		Unconsolidated		Unconsolidated		Consolidated	
		2025	2024	2025	2024	2025	2024
34.	COMBINED INCOME TAXES (IF APPLICABLE):						
	(a) Current	-	-	-	-	-	-
	(b) Deferred	-	-	-	-	-	-
	(c) Total	-	-	-	-	-	-
35.	COMBINED INCOME BEFORE REALIZED GAINS (LOSSES)	-	-	70,628	79,868	70,628	79,868
36.	COMBINED REALIZED GAINS (LOSSES)	-	-	(318,801)	(40,217)	(318,801)	(40,217)
37.	COMBINED INTEREST CHARGES	-	-	-	-	-	-
38.	NET INCOME	-	-	(248,173)	39,651	(248,173)	39,651

FORM 8SFS

For the year ending **31 December 2025**
expressed in ['000s] **United States Dollars**

Classification: Limited

1. Nature of business

Global Atlantic Assurance Limited ("GAAL," the "Company," we, our, or us) is a Bermuda registered company and wholly-owned subsidiary of Global Atlantic Re Limited ("GA Re" or "Global Atlantic Re"), a Bermuda registered company. Global Atlantic Re Limited is a direct wholly owned subsidiary of Global Atlantic Limited (Delaware) ("Global Atlantic," or "GALD"), a Delaware corporation. GALD is an indirect wholly-owned subsidiary of The Global Atlantic Financial Group LLC ("TGAFG"), a Bermuda company.

The Company is registered under the Insurance Act 1978 as a Class E and Class 3A insurer. The Company has issued Funding Agreements (Guaranteed Investment Contracts, or "GIC") to an affiliated counterparty and assumes whole life, other life insurance where mortality risk is retained by the ceding company, and mortality risk related to life blocks from non-affiliated counterparties

KKR initial acquisition of Global Atlantic Financial Group Limited

On February 1, 2021, KKR & Co. Inc. (together with its subsidiaries, "KKR") completed the acquisition of the Company's ultimate parent, Global Atlantic Financial Group Limited ("GAFG"), by Magnolia Parent LLC ("Magnolia"), a KKR subsidiary, as contemplated by the Agreement and Plan of Merger, dated July 7, 2020 (as amended, the "2021 Merger Agreement"), by and among GAFG, Global Atlantic Financial Life Limited ("GAFL"), Magnolia, Magnolia Merger Sub Limited ("Merger Sub"), LAMC LP, and Goldman Sachs & Co. LLC, solely in its capacity as the equity representative, referred to here-in as the "2021 KKR Acquisition." The total purchase price for the transaction was \$4.7 billion. Upon the conclusion of the acquisition, Magnolia was renamed to TGAFG.

KKR subsequent acquisition of remaining non-controlling interests in The Global Atlantic Financial Group

On January 2, 2024, KKR completed the merger previously announced on November 29, 2023, as contemplated by the Agreement and Plan Merger, (the "2023 Merger Agreement") by and among KKR Magnolia Holdings LLC ("Magnolia Holdings"), an indirect subsidiary of KKR, Sweetbay Merger Sub LLC, a direct subsidiary of Magnolia Holdings ("Merger Sub") and The Global Atlantic Financial Group and together with its subsidiaries, Global Atlantic, pursuant to which KKR acquired the remaining portion of Global Atlantic that KKR did not already own (the "2024 KKR Acquisition"). At the closing of the transaction (the "Closing"), Merger Sub merged with and into TGAFG, with TGAFG surviving the merger, resulting in Global Atlantic becoming a wholly owned subsidiary of KKR.

Significant transactions

In June 2024, the Board of Directors of the Company, Global Atlantic Assurance Limited ("GAAL"), a Bermuda domiciled company, and GALD voted to proceed with an internal reorganization of certain subsidiaries in the second quarter of 2024 to simplify the corporate structure, or the "Reorganization."

Concurrently, on June 30, 2024, GALD also contributed all of its common stock in GAAL to GA Re, resulting in GAAL becoming a direct, wholly-owned subsidiary of GA Re. The contribution of GAAL's ownership to GA Re by GALD, a common parent, was considered to be a transaction between entities under common control. Accordingly, the contribution of GAAL's ownership to GA Re was accounted for on a carryover basis whereby GAAL was recorded based on GALD's historical carrying amounts in the GA Re's financial statements.

2. Significant Accounting Policies

Investments

In the normal course of business, the Company enters into transactions involving various types of investments.

Investments include the following: U.S. government and agency obligations; commercial mortgage-backed securities ("CMBS"), residential mortgage-backed securities ("RMBS"), collateralized loan obligations ("CLOs"), collateralized bond obligations ("CBOs") and all other structured securities, consisting primarily of asset-backed securities ("ABS") (collectively, "structured securities"); corporate bonds; state and political subdivision obligations; foreign government obligations; equity securities; mortgage and other loan receivables; policy loans; and other non-derivative investments.

Available-for-sale fixed maturity securities

The Company primarily accounts for its fixed maturity securities (including bonds and structured securities) as available-for-sale ("AFS"). AFS fixed maturity securities are generally recorded on a trade-date basis, and are carried at fair value. Impairment associated with AFS fixed maturity securities is recognized as an allowance for credit losses. The allowance for credit losses is established either by a charge to net investment-related gains (losses) in the statements of income (loss) for securities identified as credit impaired after purchase, or by a gross-up recognition of an initial allowance for purchased credit deteriorated ("PCD") securities.

PCD securities are those purchased by the Company that were assessed at acquisition as having experienced a more-than-insignificant deterioration in credit quality since their origination. The Company considers an AFS fixed maturity security to be PCD if there are indicators of a credit loss at the acquisition date or, in the case of structured securities, if there is a significant difference between contractual cash flows and expected cash flows at acquisition. The initial amortized cost for a PCD security equals the purchase price plus the initial allowance for credit losses. The initial allowance for credit losses is determined using a discounted cash flow method, based on the best estimate of the present value of cash flows expected to be collected. After purchase, the accounting for a PCD security is generally consistent with that applied to all other securities.

Unrealized gains and losses on AFS fixed maturity securities, net of tax, are reported in accumulated other comprehensive income (loss) in the balance sheets. Realized investment gains and losses are recognized on a first-in, first-out basis, and are reported in net investment-related gains (losses) in the statements of income (loss). The amortized cost of fixed maturity securities is adjusted for impairment charge-offs, amortization of premiums, and accretion of discounts. Such amortization and accretion is calculated using the effective yield method and included in net investment income (loss) in the statements of income (loss).

For structured securities, the Company recognizes interest income utilizing a constant effective yield based on estimated cash flows generated from internal models utilizing interest rate, default and prepayment assumptions. Effective yields for structured securities that are not of high credit quality are recalculated and adjusted prospectively based on changes in expected undiscounted future cash flows, after consideration of any appropriate recognition or release of an allowance for credit losses. For structured securities that are of high credit quality, effective yields are recalculated based on payments received and updated prepayment expectations, and amortized cost is adjusted to the amount that would have existed had the new effective yield been applied since acquisition, with a corresponding charge or credit to net investment income (loss). Prepayment fees are recorded when earned in net investment income in the statements of income (loss).

The Company generally suspends accrual of interest for securities that are more than 90 days past due, and reverses any related accrued interest to net investment income (loss) in the statements of income (loss). When a security is in non-accrual status, coupon payments are recognized as interest income as cash is received, subject to consideration as to the overall collectability of the security. A security is returned to accrual status when the Company determines that the collection of amounts due is probable. The allowance for credit losses excludes accrued interest from the amortized cost basis for which losses are estimated.

Trading fixed maturity securities

The Company accounts for certain fixed maturity securities as trading at acquisition, based on intent or via the election of the fair value option. Trading securities are generally recorded on a trade-date basis and are carried at fair value, with realized and unrealized gains and losses reported in net investment-related gains (losses) in the statements of income (loss). Interest income from these securities is reported in net investment income (loss). Trading securities, which are primarily used to match asset and liability accounting, back funds withheld payable at interest where the investment performance is ceded to reinsurers under the terms of the respective reinsurance agreements.

Held-to-maturity fixed maturity securities

The Company accounts for certain fixed maturity securities as held-to-maturity ("HTM"), at acquisition, based on the intent and ability to hold those securities to maturity. HTM securities are carried at amortized cost. The amortized cost of HTM securities is adjusted for other than temporary impairment ("OTTI"), amortization of premiums and accretion of discounts. Such amortization and accretion is calculated using the effective yield method and included in net investment income (loss) in the statements of income (loss). Interest income from these securities is reported in net investment income (loss) in the statements of income (loss).

Mortgage and other loan receivables

The Company purchases mortgage and other loan receivables, and these loans are carried at cost, less the allowance for credit losses and as adjusted for amortization/accretion of premiums/discounts. The allowance for credit losses is established either by a charge to net investment-related gains (losses) in the statements of income (loss) or, for PCD mortgage and other loan receivables, by a gross-up recognition of the initial allowance in the balance sheets.

PCD mortgage and other loan receivables are those purchased by the Company that were assessed at acquisition as having experienced a more-than-insignificant deterioration in credit quality since their origination. PCD mortgage and other loan receivables also include those mortgage and other loan receivables previously held by the Company that were similarly assessed at the time of the 2021 KKR Acquisition. The initial amortized cost for a PCD mortgage or other loan receivable equals the purchase price plus the initial allowance for credit losses. The initial allowance for credit losses is determined using a method consistent with that used for other similar loans. See further discussion of allowance methods below. After purchase, the accounting for a PCD mortgage or other loan receivable is consistent with that applied to all other mortgage and other loan receivables.

The Company has elected the fair value option for certain mortgage and other loan receivables, when purchased or originated. Changes in the fair value of these mortgage and other loan receivables are reported in net investment related gains (losses) in the statements of income (loss).

Interest income is accrued on the principal balance of each loan based on its contractual interest rate. The accrual of interest is generally suspended when the collection of interest is no longer probable or the collection of any portion of principal is doubtful. The Company generally suspends accrual of interest

for loans that are more than 90 days past due and reverses any related accrued interest to net investment income (loss) in the statements of income (loss). When a loan is in non-accrual status, coupon payments are generally recognized as interest income as cash is received, subject to consideration as to the overall collectability of the loan. A loan is returned to accrual status when the Company determines that the collection of amounts due is probable. The allowance for credit losses excludes accrued interest from the amortized cost basis for which losses are estimated.

Real assets

Real assets consist primarily of investments in real estate assets, transportation assets, energy-related assets, and infrastructure assets.

Real assets in the balance sheets include investments in investment partnerships, for which the Company does not have voting control or power to direct activities. These investments are accounted for using the equity method of accounting unless the Company's interest is so minor that it has virtually no influence over partnership operating or financial policies. The equity method of accounting requires that the investments be initially recorded at cost and the carrying amount of the investment subsequently be adjusted to recognize the Company's share of the earnings and losses of the investee. Where there is a difference between the cost of the investment and the Company's proportionate share of the equity method investee's net assets, this basis difference is accreted to net investment income (loss) over the life of the underlying assets. In applying the equity method, the Company uses financial information provided by the investee, generally on a one to three month lag due to the timing of the receipt of related financial statements.

The income from the Company's equity method investments is included in net investment income (loss) in the statements of income (loss). In limited circumstances, the Company elects to apply the fair value option to investment partnerships, which are carried at fair value with unrealized gains and losses reported in net investment-related gains (losses) in the statements of income (loss). Distributions from investment partnerships that apply equity method accounting are classified as either investing or operating activities within the statements of cash flows, based on the nature of the distributions.

Cash and cash equivalents

Cash and cash equivalents in the balance sheets generally include short-term highly liquid investments with a maturity of three months or less from the date of acquisition. Amounts included are readily convertible to known amounts of cash, and are subject to an insignificant risk of change in value.

Derivative instruments

Derivatives are instruments that derive their values from underlying asset prices, indices, foreign exchange rates, reference rates and other inputs or a combination of these factors. Derivatives may be privately negotiated contracts, which are usually referred to as over-the-counter ("OTC") derivatives, or they may be listed and traded on an exchange ("exchange-traded"). The Company's derivative instruments are primarily used to hedge interest rate risk. Where certain criteria are met, some of these hedging arrangements may achieve hedge accounting.

Derivative instruments are recognized at estimated fair value in either funds withheld receivable at interest, other assets, funds withheld payable at interest or derivative liabilities in the balance sheets, with changes in fair value recorded in net investment-related gains (losses) in the statements of income (loss). Where certain qualifying criteria are met, some derivative instruments are designated as accounting hedges and are recognized at estimated fair value in derivative liabilities in the balance sheets. For derivative instruments designated as cash flow hedges, changes in fair value are initially recognized in

accumulated other comprehensive income (loss) in the balance sheets and subsequently reclassified to the statements of income (loss) when the hedged item affects earnings, in the same line item where the hedged item is reported.

Derivative receivables and payables with a counterparty that are subject to an International Swaps and Derivatives Association Master Agreement ("ISDA") or other similar agreement that provides a legal right of setoff, are presented at their net amounts. Where the legal right of setoff exists, the Company also offsets the fair value of cash collateral received or posted under an ISDA, or other similar agreement with a counterparty, against the related derivative balances as appropriate.

Investment credit losses and impairment

AFS fixed maturity securities

One of the significant estimates related to AFS securities is the evaluation of those investments for credit losses. The evaluation of investments for credit losses is a quantitative and qualitative quarterly process that is subject to risks and uncertainties and involves significant estimates and judgments by management. Changes in the estimates and judgments used in such analysis can have a significant impact on the Company's statements of income (loss). Considerations relevant to the evaluation of credit losses may include the severity of any loss position, as well as changes in market interest rates, changes in business climate, management changes, litigation, government actions, and other similar factors that may impact an issuer's ability to meet current and future principal and interest obligations. Indicators of credit impairment may also include changes in credit ratings, the frequency of late payments, pricing levels, and deterioration in any, or a combination of, key financial ratios, financial statements, revenue forecasts, and cash flow projections.

For AFS fixed maturity securities in an unrealized loss position, the Company first considers the intent to sell a security, or whether it is more-likely-than-not that it will be required to sell the security, before the recovery of its amortized cost. If the Company intends to sell an AFS fixed maturity security with an unrealized loss or it is more-likely-than-not that it will be required to sell an AFS fixed maturity security with an unrealized loss before recovery of its amortized cost basis, the amortized cost is written down to fair value and a corresponding charge is recognized to net investment-related gains (losses).

For AFS fixed maturity securities in an unrealized loss position that the Company does not intend to sell, and will not be required to sell, the Company bifurcates the impairment into two components: credit impairment and non-credit impairment. Credit impairments are measured as the difference between the security's cost or amortized cost and its estimated recoverable value, which is the present value of its expected future cash flows discounted at the current effective interest rate. The estimated recoverable value is subject to a floor equal to the fair value of the security. The remaining difference between the security's fair value and the recoverable value, if any, is the non-credit impairment. Credit impairments are recognized in the allowance for credit losses on AFS fixed maturity securities, which is established via a charge to net investment-related gains (losses) in the statements of income (loss) and non-credit impairments are charged to accumulated other comprehensive income (loss) in the balance sheets.

In determining the estimated recoverable value, the review of expected future cash flows for structured securities includes assumptions about key systemic risks (e.g., unemployment rates, housing prices) and loan-specific information (e.g., delinquency rates, loan-to-value ratios). Estimating future cash flows is a quantitative and qualitative process that incorporates information received from third parties, along with assumptions and judgments about the future performance of the underlying collateral. For corporate and government bonds, the recoverable value is determined using cash flow estimates that consider facts and circumstances relevant to the security and the issuer, including overall financial strength and secondary sources of repayment, as well as pending restructuring or disposition of assets.

In periods subsequent to the initial recognition of an allowance for credit losses on a fixed maturity security, whether for a PCD security or a security impaired since purchase, the Company continues to monitor credit loss expectations. Deterioration in the estimated recoverable value of a credit impaired security is recognized as an addition to the allowance for credit losses, as limited by the amount by which the security's fair value is less than amortized cost. Improvements in the estimated recoverable value of a credit impaired security or improvements in the fair value of a credit impaired security that limit the amount of the allowance result in reductions in the allowance for credit losses, which are recognized as a credit to net investment-related gains (losses) in the statements of income (loss).

Amounts are charged off against the allowance for credit losses when deemed uncollectible, or when the Company determines that it intends to sell, or more likely than not will be required to sell, the security. Charge-offs are reflected as a decrease in the allowance and a direct write down in the amortized cost of the security. If the Company recovers all or a portion of an amount previously written off on a credit impaired security, the recovery is recognized as a realized investment gain.

Mortgage and other loan receivables

The Company updates its estimate of the expected credit losses on its investments in mortgage and other loan receivables each quarter. For loans that share similar risk characteristics, expected credit losses are measured on a pool basis. For loans that do not share similar risk characteristics, expected credit losses are measured individually. Loans subject to individual evaluation include those loans that are collateral dependent, where the borrower is experiencing financial difficulty. For these collateral dependent loans, expected credit losses are measured as the difference between the fair value of the collateral (less costs to sell, where the collateral is to be sold) and the amortized cost basis of the loan.

For commercial mortgage loans, the current expected credit losses are estimated using a model that evaluates the probability that each loan will default and estimates the amount of loss given the occurrence of such a default over the life of each loan in the portfolio. The model incorporates historical and current data on the relevant property market and projects potential future paths for each loan's collateral, considering both the net income to be generated by the collateral real estate and its market value. The model considers how macroeconomic forecasts (such as gross domestic product, unemployment, and interest rates) influence commercial real estate market factors (including vacancy rates, rental and income growth rates, property value changes), and in turn how commercial real estate market conditions, in combination with loan specific information (including debt service coverage and loan to value), drive commercial mortgage loan credit risk.

For residential mortgage loans and consumer loans, the current expected credit losses are primarily estimated using a discounted cash flow model. The model considers loan-specific information as well as current, historical and forecasted data relevant to the respective loans, including home prices, interest rates and unemployment. Expected cash flows are projected for each loan and are discounted using the effective interest rate of the respective loan. Any shortfalls between the discounted cash flows and the amortized cost of each individual loan are aggregated to determine the total allowances on the residential mortgage loan and consumer loan portfolios. For certain residential mortgage loans secured by single-family rental properties, current expected credit losses are determined using a model consistent with that described above for commercial mortgage loans.

With regard to the use of forecasts in the determination of the Company's current expected credit losses, the reversion of forecasts to historical data is based on reversion dynamics that depend on the specific variable and its interaction with the other parameters of the respective model; however, the forecasts generally tend to revert to a long-term equilibrium trend within two to three years from the forecast start date.

For the investment in other loan receivables, a variety of methodologies are used to estimate the respective current expected credit losses. These methodologies consider the terms specific to each loan, including the value of any collateral, and evaluate the risk of loss over the life of these loans.

The Company also assesses and measures an allowance for credit losses arising from off-balance sheet commitments, including loan commitments, that are not unconditionally cancellable by the Company. This allowance for credit losses for off-balance sheet commitments is determined using methods consistent with those used for the associated mortgage and other loan receivable class, as described above, and is recognized in other liabilities in the balance sheets, since there is no funded asset for the committed amount.

When all or a portion of a loan is deemed uncollectible, the uncollectible portion of the carrying amount of the loan is charged off against the allowance. If the Company recovers all or a portion of an amount previously written off on a credit impaired loan, the recovery is recognized as a realized investment gain.

Real assets

The determination of the amount of impairment on other classes of investments also requires significant judgment and is based upon a periodic evaluation and assessment of known and inherent risks associated with the respective asset class. Such assessments are revised as conditions change and new information becomes available.

Impairment of consolidated real assets carried at depreciated cost is assessed whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. When indicators of impairment are present, a recoverability test is performed to determine if the sum of the estimated undiscounted future cash flows attributable to the assets is greater than the carrying amount. If the undiscounted estimated future cash flows are less than the carrying amount, an impairment loss is recognized based on the amount by which the carrying amount exceeds its estimated fair value.

Impairment of investments subject to the equity method of accounting is assessed whenever events or circumstances suggest that the carrying amount may not be recoverable. An impairment charge is recognized in earnings for a decline in value that is determined to be other than temporary, and is measured as the difference between the carrying amount and the fair value of the equity method investment as of the balance sheet date.

Deferral and amortization of certain revenue and expenses

Deferrals

Value of business acquired ("VOBA") represents the difference between the carrying value of the purchased insurance contract liabilities at the time of the business combination and the estimated fair value of insurance and reinsurance contracts. VOBA can be either positive or negative. Positive VOBA is recorded in insurance intangibles. Negative VOBA is recorded in the same financial statement line in the balance sheets as the policy liabilities.

Deferred revenue liability ("DRL") represents unearned premium on certain reinsurance contracts (e.g., Monthly Renewable Term). DRL is included in contractholder deposit funds and other policyholder liabilities in the balance sheets.

Amortization

VOBA and DRL are amortized straight line over the life of the contracts.

Policy liabilities

Policy liabilities (or collectively, “reserves”) are the portion of past premiums or assessments received that are set aside to meet future policy and contract obligations as they become due. Interest accrues on these reserves and on future premiums, which may also be available to pay for future obligations. The Company establishes reserves to pay future policy benefits, claims, and certain expenses for its reinsured life policies and annuity contracts.

Reserves are estimates based on models that include many actuarial assumptions and projections. These assumptions and projections, which are inherently uncertain, involve significant judgment, including assumptions as to the levels and/or timing of premiums, benefits, claims, expenses, interest credits, investment results (including equity market returns), mortality, longevity, and persistency.

The assumptions on which reserves are based are intended to represent an estimation of experience for the period that policy benefits are payable. The adequacy of these reserves and the assumptions underlying those reserves are reviewed at least annually. The Company cannot, however, determine with precision the amount or the timing of actual policy benefit payments. If actual experience is better than or equal to the assumptions, then reserves would be adequate to provide for future policy benefits and expenses. If experience is worse than the assumptions, additional reserves may be required to meet future policy and contract obligations. This would result in a charge to the Company’s net income (loss) during the period in which excess policy benefits are paid, or an increase in reserves occurs.

GICs are non-life contingent annuities which are accounted for as financial instruments. The issuer is contractually obligated to repay the principal and specified interest guaranteed to the purchaser. The liabilities are recorded in policyholder liabilities in the balance sheets.

Interest-sensitive life products

The Company reinsures universal life and variable universal life policies, for which the base policy reserve is the policyholder account value. These products require that the retrospective deposit method be used. The retrospective deposit method establishes a liability for policyholder benefits in an amount determined by the account or contract balance that accrues to the benefit of the policyholder.

Whole and term life

The Company has established liabilities for amounts payable under insurance policies, including whole life insurance and term life insurance policies. These policies provide death benefits in exchange for a guaranteed level premium for a specified period of time and, in the case of whole life, a guaranteed minimum cash surrender value. Generally, liabilities for these policies are calculated as the present value of future expected benefits to be paid, reduced by the present value of future expected net premiums. Current assumptions are used in the establishment of liabilities for future policyholder benefits including mortality, policy lapse, renewal, investment returns, inflation, expenses and other contingent events as appropriate for the respective product.

At least quarterly, the Company updates its estimate of cash flows expected over the entire life of a group of contracts, using actual historical experience and current future cash flow assumptions. These updated cash flows are discounted using the discount rate or curve on the original reinsurance contract issue date to calculate the revised net premiums and net premium ratio, which are used to derive an

updated liability for future policy benefits. This amount is then compared to the carrying amount of the liability before the updating of cash flow assumptions to determine the current period change in liability estimate. This current period change in the liability is the liability remeasurement gain or loss, and is presented parenthetically as a separate component of benefit expense in the statements of income (loss).

Outstanding claims

Outstanding claims include amounts payable relating to in course of settlement and incurred but not reported claim liabilities. In course of settlement, claim liabilities are established for policies when the Company is notified of the death of the policyholder, but the claim has not been paid as of the reporting date. Incurred but not reported claim liabilities are determined using studies of past experience and are estimated using actuarial assumptions of historical claims expense, adjusted for current trends and conditions. These estimates are continually reviewed, and the ultimate liability may vary significantly from the amounts initially recognized, which are reflected in net income (loss) in the period in which they are determined. Changes in policyholder and contract claims are recorded in policy benefits and claims in the statements of income (loss).

Reinsurance

Consistent with the overall business strategy, the Company assumes certain policy risks written by other insurance companies on a coinsurance basis. Reinsurance accounting is applied for these assumed transactions when risk transfer provisions have been met. To meet risk transfer requirements, a long-duration reinsurance contract must transfer mortality or morbidity risks, and subject the reinsurer to a reasonable possibility of a significant loss.

With respect to ceded reinsurance, the Company values reinsurance recoverables on reported claims at the time the underlying claim is recognized in accordance with contract terms. For future policyholder benefits, the Company estimates the amount of reinsurance recoverables based on the terms of the reinsurance contracts and historical reinsurance recovery information. The reinsurance recoverables are based on what the Company believes are reasonable estimates and the balance is reported as an asset in the balance sheets. However, the ultimate amount of the reinsurance recoverable is not known until all claims are settled.

The cost of reinsurance, which is the difference between the amount paid for a reinsurance contract and the amount of the liabilities for policy benefits relating to the underlying reinsured contracts, is deferred and amortized over the reinsurance contract period for short-duration contracts, or over the terms of the reinsured policies on a basis consistent with the reporting of those policies for long-duration contracts. Generally, the Company amortizes cost of reinsurance based on policy count or effective yield method, retrospectively calculated based on actual and projected future cash flows. Cost of reinsurance assets and liabilities are reported in insurance intangibles and policy liabilities in the balance sheets. Reinsurance contracts do not relieve the Company from its obligations to policyholders, and failure of reinsurers to honor their obligations could result in losses to the Company; consequently, allowances are established for expected credit losses, via a charge to policy benefits and claims in the statements of income (loss). The Company's funds withheld receivable at interest and reinsurance recoverable assets are reviewed for expected credit losses by considering credit ratings for each reinsurer, historical insurance industry specific default rate factors, rights of offset, expected recovery rates upon default, and the impact of other terms specific to the reinsurance arrangement.

For funds withheld and modified coinsurance agreements, the Company has the right to obligation to pay the total return on assets supporting the funds withheld payable at interest. This indirectly exposes the Company to the credit risk of the underlying assets. As a result, funds withheld and modified

coinsurance agreements are viewed as total return swaps, and accounted for as embedded derivatives. Embedded derivatives are required to be separated from the host contracts and measured at fair value, with changes in fair value recognized in net income (loss). Generally, the embedded derivative is measured as the difference between the fair value of the underlying assets and the carrying value of the host contract at the balance sheet date. The fair value of the embedded derivative is included in the funds withheld payable at interest on the balance sheets. Changes in the fair value of the embedded derivative are reported in operating activities on the statements of cash flows.

Recognition of insurance revenue and related benefits

Premiums related to life reinsurance contracts are recognized in premiums in the statements of income (loss) when due from the contractholders.

Amounts received as payment for investment-type contracts are reported as deposits to contractholder account balances, and recorded in policy liabilities in the balance sheets. Revenues from these contracts consist primarily of fees assessed against the contractholder account balance for mortality, policy administration, separate account administration, and surrender charges, and are reported in policy fees in the statements of income (loss). Additionally, the Company earns investment income from the investment of contract deposits, generated through the Company's funds withheld receivable, which is reported in net investment income (loss) in the statements of income (loss).

Future application of accounting standards

Measurement of Credit Losses for Accounts Receivable and Contract Assets

In July 2025, the FASB issued ASU 2025-05, "Financial Instruments—Credit Losses (Topic 326): Measurement of Credit Losses for Accounts Receivable and Contract Assets" ("ASU 2025-05"). ASU 2025-05 simplifies the application of the current expected credit loss model for current accounts receivable and current contract assets under ASC 606. The update will be effective for annual periods and interim periods in annual reporting periods beginning after December 15, 2025. Early adoption is permitted. The Company is currently evaluating the impact of adopting this guidance on the Company's financial statements.

Improvements to income tax disclosures

In December 2023, the Financial Accounting Standards Board ("FASB") issued Accounting Standards Update ("ASU") 2023-09 "Improvements to Income Tax Disclosures" ("ASU 2023-09"). ASU 2023-09 intends to enhance the transparency and decision usefulness of income tax disclosures, requiring disaggregated information about an entity's effective tax rate reconciliation as well as income taxes paid. The guidance is effective for annual periods beginning after December 15, 2025, with early adoption permitted. The guidance is not expected to have a material impact on the Company's financial statements.

Financial Instruments—Credit Losses (Topic 326): Purchased Loans

In November 2025, the FASB issued ASU 2025-08, Financial Instruments - Credit Losses (Topic 326) - Purchased Loans. ASU 2025-08 expands the population of purchased financial assets subject to the gross-up approach in Topic 326. As a result of this update, loans (excluding credit cards) acquired without credit deterioration and deemed "seasoned" as defined in the ASU will follow the gross-up approach at acquisition and the initial allowance for credit losses is added to the purchase price to determine the amortized cost basis of the loans. The update is effective for fiscal years beginning after December 15, 2026, including interim periods within those fiscal years, and is to be applied prospectively

to loans acquired on or after adoption; early adoption is permitted. The Company is currently evaluating the impact of adopting this guidance on its financial statements.

3. Sundry Assets - Line 13

Net Receivables for Investments Sold

Due to timing differences between the trade dates versus the settlement of proceeds from investments disposed, the company reported \$26,394 thousand receivable and \$28,787 thousand receivable at December 31, 2025 and 2024, respectively.

Insurance intangibles

The following reflects the components of insurance intangibles reported in the balance sheets as of December 31, 2025 and 2024:

	December 31,	
	2025	2024
(\$ in thousands)		
Value of business acquired	\$ 2,953	\$ 10,326
Cost-of-reinsurance intangibles	293	279
Total insurance intangibles	\$ 3,246	\$ 10,605

Other sundry assets

Other sundry assets consist of the following :

	December 31,	
	2025	2024
(\$ in thousands)		
Other assets ⁽¹⁾	\$ 4,564	\$ 2,934
Total other sundry assets	\$ 4,564	\$ 2,934

- (1) In conjunction with a reinsurance transaction entered into by the company on July 12, 2021, Global Atlantic Re provided a guarantee to pay the reinsurance recapture fee in the event the company's Risk Based Capital drops below 100% Company Action Level, and is rendered unable to fund the recapture payment. The company made a payment to Global Atlantic Re for the guarantee and the amount is recorded in Other assets on the balance sheet and amortized over the term of the guarantee.

4. Sundry Liabilities - Line 36

Derivative instruments

The Company enters into hedges designated to limit the volatility associated with changes in the value of general account assets or changes to net investment income (loss) as a result of interest rate or credit spread movements, while also taking into consideration economic impacts.

Credit Risk

The Company may be exposed to credit-related losses in the event of nonperformance by its counterparties to derivatives. Generally, the current credit exposure of the Company's derivatives is limited to the positive fair value of derivatives less any collateral received from the counterparty.

The Company manages the credit risk on its derivatives by entering into derivative transactions with highly rated financial institutions and other creditworthy counterparties and, where feasible, by trading through central clearing counterparties. The Company further manages its credit risk on derivatives via the use of master netting agreements, which require the daily posting of collateral by the party in a liability position. Counterparty credit exposure and collateral values are monitored regularly and measured against counterparty exposure limits. The provisions of derivative transactions may allow for the termination and settlement of a transaction if there is a downgrade to the Company's financial strength ratings below a specified level.

The fair value and notional value of the derivative assets and liabilities were as follows:

	As of December 31, 2025					
	Gross Notional	Fair Value				
		Assets	Liabilities			
(\$ in millions)						
Derivatives Designated as Hedge Accounting Instruments:						
Interest rate contracts	\$	87	\$	—	\$	14
Foreign currency contracts		4		—		1
Total Derivatives Designated as Hedge Accounting Instruments		91		—		15
Derivatives Not Designated as Hedge Accounting Instruments:						
Interest rate contracts		87		—		14
Foreign currency contracts		4		—		1
Total Derivatives Not Designated as Hedge Accounting Instruments		91		—		15
Total Derivatives after Collateral	\$	182	\$	—	\$	30

	As of December 31, 2024					
	Gross Notional	Fair Value				
		Assets	Liabilities			
(\$ in millions)						
Derivatives Designated as Hedge Accounting Instruments:						
Interest rate contracts	\$	120	\$	—	\$	18
Foreign currency contracts		—		—		—
Total Derivatives Designated as Hedge Accounting Instruments		120		—		18
Derivatives Not Designated as Hedge Accounting Instruments:						
Interest rate contracts		120		—		18
Total Derivatives Not Designated as Hedge Accounting Instruments		120		—		18
Total Derivatives after Collateral	\$	240	\$	—	\$	36

Other sundry liabilities

Other sundry liabilities consist of the following :

	December 31,			
	2025		2024	
(\$ in thousands)				
Miscellaneous liabilities	\$	1,617	\$	1,763
Total other sundry liabilities	\$	1,617	\$	1,763

6. Contributed Surplus - 8SFS Line 1(b)

As of December 31, 2025 there was no change in contributed surplus.

7. Change in any other Statutory Capital and Surplus - Form 8SFS, Line 2g

Not Applicable.

8. Reconciliation of U.S. GAAP to Statutory Capital and Surplus - Form 8SFS, Line 4

As of December 31, 2025 and 2024 there were no differences between U.S GAAP shareholders equity and statutory capital and surplus.